

BOYCOTT CALL An SJM protest against Turkey in Delhi, May 16

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▼ INDIA-TURKEY RELATIONS

GOING COLD ON TURKEY

Economic leverage becomes New Delhi's frontline weapon against Ankara as it recalibrates its diplomatic battles

BY ANILESH S. MAHAJAN

ON MAY 22, THE MINISTRY OF EXTERNAL AFFAIRS CALLED OUT TURKEY, saying it expects Ankara to "strongly urge Pakistan to end its support to cross-border terrorism". For good measure, it added that "relations are built on the basis of sensitivities to each other's concerns". Those relations had been on a downhill track for some time but Turkey's overt support to Pakistan after the Pahalgam attack made matters worse. Post-Operation Sindoor, on May 15, the Bureau of Civil Aviation Security had revoked the security clearance of Istanbul-headquartered Celebi Aviation Holding's Indian subsidiary which provided ground-handling services at nine key airports, including Delhi and Mumbai, citing "national security concerns".

The past year had seen a slow build-up of tensions. In April 2024, the defence ministry had scrapped a multi-billion dollar deal between Hindustan Shipyard Ltd and Anadolu Shipyard to build five fleet support ships for the Indian Navy, which some quarters impute to Turkey's 'ideological posturing', especially invoking Kashmir at global forums and its narratives of Muslim persecution in India. Meanwhile, Ankara had become Pakistan's second-largest arms supplier after China. But it was the post-Pahalgam response that irked India the most. A Turkish warship docked in Karachi on May 5, ostensibly to strengthen maritime cooperation between the two countries even as the country's ambassador met prime minister Shehbaz Sharif to express "Ankara's solidarity with Pakistan".

India's response has been multi-faceted. On one front is the deepening defence relationship with Turkey's regional rivals, such as Armenia, Cyprus and Greece. Domestically, the termination of the Anadolu ship contract and the squeeze on Celebi (a $200 million or Rs 1,711 crore hit to its bottom line) signal the opening of a flank on the economic wars front. Celebi, which allegedly has links with Turkish president Recep Erdogan's family, has now approached the Indian courts for redressal. But the recalibration is already rippling through private industry. Turkish construction firm Gülermak, involved in metro rail projects in Lucknow, Kanpur, Pune and Surat, faces uncertainties as industry sentiment turns hostile. Retail and consumer sectors have also aligned with the broader pushback. The boycott has even extended to Turkey's ally, Azerbaijan.

> **THE SQUEEZE ON CELEBI OPENS UP A FLANK ON THE ECONOMIC WARS FRONT FOR INDIA. THE RIPPLES ARE BEING FELT IN THE INDUSTRY**

The impact on bilateral trade is inevitable. Even though, at $8.7 billion (Rs 74,422 crore), trade with Turkey is less than 2 per cent of India's total global trade, we do enjoy a surplus of $2.7 billion (Rs 23,096 crore). That will now be jeopardised, an undesirable outcome given the disruption Trump's tariffs have already caused. Tourism, too, has taken a sharp hit, with travel platforms reporting a 60 per cent dip in bookings to Turkey and a threefold spike in cancellations. Ankara has responded in kind, imposing a ban on defence exports to India and inviting Pakistan to join its next-generation fighter jet programme, KAAN.

DECOUPLING MOTIONS

For India, the pushback fits a broader pattern of economic statecraft. "The Modi government cannot exercise diplomatic restraint while hostile entities make millions in Indian markets," says Ashwani Mahajan, co-convenor of the Swadeshi Jagran Manch, the RSS's economic wing which is steering the boycott campaign.

Critics warn of rising costs and disrupted supply chains. The civil aviation ministry's move to review bilateral air traffic rights could affect Indian carriers like IndiGo, which use Istanbul as a transit hub. But Anil Trigunayat, ex-ambassador to Jordan and Libya, sees a sliver of light: "India won't tolerate interference that affects national unity. But ties can be recalibrated—if Ankara chooses pragmatism over posturing." India is only signalling that access to its markets is contingent on political alignment or, at least, political neutrality. ■